

Precious Metals

Amid heightened geopolitical tensions, gold has continued its upward trajectory, increasing 10.7% since our Q1 report to reach new historic peaks, with prices currently holding near US\$3,370/oz. Long-term Treasury yields have been climbing since early April, fuelled by concerns over the U.S. government's growing deficit. Yet despite the rise in yields, the U.S. dollar continues to weaken as fiscal uncertainty and trade policy concerns weigh on sentiment. Gold's status as a safe haven continues to support demand, registering further gains in response to the recent escalation in the Middle East and the ongoing trade war uncertainty. Central bank purchases remain a key driver of demand, with China's central bank adding to its gold reserves for the seventh straight month in May. Other major buyers like the National Bank of Poland, Reserve Bank of India, National Bank of Kazakhstan, and the Czech National Bank all boosted holdings over the first quarter, led by Poland. Steady central bank demand and underperformance of traditional hedges, such as U.S. Treasuries, support gold's continued strength.

Global gold ETF flows turned negative in May, with total assets under management (AUM) falling 1% to stand at US\$374B at month-end. All regions experienced outflows in May except for Europe, which registered mild inflows. North America witnessed net outflows of US\$1.5B, marking the first negative month since January. Asia recorded outflows of US\$489M in May, led by China amid a de-escalation of trade tensions with the U.S. Meanwhile, European ETFs registered slight inflows totalling US\$225M, led by France, which has seen steady inflows over recent months. In terms of positioning, we note that total net longs of COMEX gold futures reached 551t by the end of May, a 3% decline month-over-month, likely due to rebound price action.

We anticipate sustained upside in quality gold exploration equities throughout the remainder of 2025. In our view, the sector remains in a secular bullish uptrend, providing the potential for outsized returns through careful stock selection. Gold producers continue to generate substantial free cash flow, which we believe lays the groundwork for ongoing industry consolidation as firms seek to secure future supply amid sustained underinvestment in exploration. The explorers highlighted in this report, in our view, are well-positioned to benefit from elevated gold prices and a catalyst-rich second half of the year with several summer exploration programs currently underway.

Base Metals

Copper prices back on uptrend, rising 21.84% YTD. Copper surged in late March to record highs of US\$5.24/lb following President Trump's announcement of a national security probe into copper imports, but the trend quickly reversed in early April on concerns of a global economic slowdown following the implementation of retaliatory tariffs by China on US imports. However, since April 2025, positive economic sentiment and supply concerns have pushed copper back to around US\$4.91/lb today, up from US\$4.03/lb at the beginning of the year.

Global copper shortages. There continues to be a collective scramble to move as much physical copper as possible into the U.S. before import tariffs are imposed, which is creating global shortages throughout the rest of the world. London Metal Exchange (LME) stocks in LME-registered warehouses have fallen to nearly two-year lows, generating a premium for near-term contracts against those with longer maturities. The premium of the cash LME copper contract over benchmark three-month futures is approximately US\$75/tonne, down slightly from US\$93/tonne as of June 5, which marked the highest in two and a half years. This premium compares to a US\$63/tonne discount in early April. The backwardation indicates a shortage in the copper market, which is normally in contango. The move of copper into the U.S. will continue to be felt until the US administration settles on whether to add copper to its list of critical metals subject to import duties. The Chicago Mercantile Exchange (CME) customs-cleared US copper contract continues to command a large premium to the LME, and at the current US\$1,000/tonne basis for three-month delivery, traders appear to be pricing in a 10% tariff.

Chinese smelters contend with tight supply. China's refined copper output is expected to rise 10% in 1H25 owing to smelting capacity expansion. Smelters, however, are grappling with a significant shortage of copper concentrate feedstock, which has driven smelting refining charges to historic lows. The scramble for feedstock has kept spot processing treatment and refining charges (TC/RCs) negative since December 2024. As of the end of 1Q25, the Shanghai Metals Market copper concentrates TC/RC index was -US\$24.14/tonne. China's top copper smelters opted not to issue guidance for 2Q25 given the persistent shortage, and as of May 2025 spot treatment charges have plunged further negative to around -US\$60.00/tonne. The precarious supply situation fuels expectations of production cuts, given the disconnect between TC/RCs and spot copper prices, and though many smelters in China are state-owned enterprises, providing some resiliency to output, the question of how long China is willing to accept operating losses is on everyone's mind. China has implemented stricter regulations for new smelters, requiring companies to secure a sufficient raw material supply to support their operations, effectively limiting the construction of new smelters to a select group of major Chinese companies, and we anticipate that China will continue to introduce measures aimed at restructuring its copper smelting industry to restore balance.

Explorers and developers stand to benefit. The recent strength in copper prices is expected to benefit explorers and developers as producers and advanced developers with strong balance sheets look to grow their project portfolios and diversify. As a result, the demand for new projects remains robust, especially for projects within the U.S. Although base metals equities are down 3% YTD, as reflected in the S&P/TSX Global Base Metals Index, we believe the ongoing strength in the copper price is creating attractive investment opportunities.



Uranium

Sentiment for uranium equities has undergone a marked improvement over the quarter, with spot prices rebounding from March lows to around US\$74.85/lb at the time of writing. Notably, the Sprott Physical Uranium Trust (SPUT) recently announced an upsized US\$200M bought deal financing to fund additional spot market purchases after several months of inactivity. In our view, SPUT's renewed buying activity is a strong tailwind for both the spot uranium price and uranium equities, with the trust now holding sufficient cash to purchase approximately 3Mlbs of uranium at current prices. Prior to this, the rally had been fueled in part by a wave of supportive policy developments out of Washington. In a sweeping move aimed at revitalizing U.S. nuclear competitiveness, President Trump signed four executive orders focused on accelerating reactor licensing, streamlining Nuclear Regulatory Commission (NRC) oversight, and expanding domestic uranium mining and enrichment, with the goal of quadrupling U.S. nuclear power by 2050. The orders also set the stage for increased involvement from the Department of Defense and Department of Energy in nuclear infrastructure, positioning the sector as a cornerstone of U.S. energy security. Meta Platforms Inc. (META-US, Not Rated) recently signed a 20-year agreement to buy nuclear power from Constellation Energy Corp. (CEG-US, Not Rated), the latest in a series of deals between big tech and the nuclear industry, reiterating the need to secure reliable, clean energy amid surging AI-related power demand. Furthermore, we highlight recent news from the World Bank, which announced it is removing its decades-long ban on financing nuclear energy in a policy shift aimed at supporting the development of low-emissions technology to meet increasing electricity demands in the developing world. To meet this rising demand, World Bank President Ajay Banga estimates that annual investment in generation, grids, and storage must rise from US\$280B today to US\$630B. Overall, recent developments continue to reinforce our positive long-term outlook for uranium demand.

Near-term supply increases remain unlikely despite firming prices. Cameco (CCJ-NYSE, Not Rated) has reiterated its commitment to remain in supply discipline, maintaining its full-year guidance and stating that it will not restart idled capacity or expand output while it remains below replacement rate contracting. In April, Deep Yellow (DYL-ASX, Not Rated) elected to defer an investment decision at its Tumas project in Namibia, citing the need for improved uranium prices before making a final investment decision. Ultimately, we expect that higher incentive pricing is needed before we see meaningful additional supply enter the market. For greenfield projects, permitting and development challenges continue to hamper project build-outs. This was recently highlighted by NexGen's (NXE-TSX, Buy Rating, \$12.50 Target Price) Rook I project, which will come online later than expected following a delayed timeline to receiving a commission hearing date with the Canadian Nuclear Safety Commission (CNSC). In summary, while recent policy tailwinds have reignited investor interest in uranium, the market remains shaped by persistent supply constraints. We believe these factors contribute to a compelling long-term opportunity underpinned by rising demand against a backdrop of supply uncertainty.



Rackla Metals Inc. (RAK-TSXV, \$0.33)

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- ◆ **Company Profile:** Rackla Metals Inc. controls over 63,000 hectares across the eastern Tombstone Gold Belt in southeast Yukon and the Northwest Territories. The Tombstone Gold Belt is part of the Tintina Gold Province, which extends across more than 1,000km through Alaska, Yukon and the Northwest Territories; in the Yukon and Alaska, the belt is host to several large Reduced Intrusion-Related Gold System (RIRGS) deposits. Specifically, in the Yukon, the Belt is home to gold deposits such as the Fort Knox Mine in Alaska (12.1Moz gold), the Eagle Mine (7.8Moz gold), Banyan Gold Corp.'s (BYN-V, Not Rated) AurMac deposit (7.0Moz gold) and Snowline Gold's Valley deposit (7.3Moz gold). Rackla is focused on exploring the eastern Tombstone Gold Belt for future RIRGS deposits.

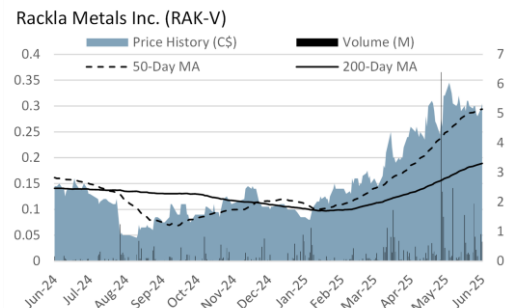
Staked in July 2024, the Company's flagship Grad Property in the NWT covers 5,525 hectares (5 claims), centred on a mid-Cretaceous granite stock with a sizeable, intensely altered contact aureole. Early exploration has identified the BiTe zone characterized by anomalous gold-bismuth-tellurium (Au-Bi-Te) mineralization, with talus fine sampling defining a 550-metre-wide gold anomaly averaging 1.06 g/t Au, channel samples grading 1.8 g/t Au over 38 metres, and grab samples of up to 92.4 g/t Au. This mineralized system exhibits indications of being a RIRGS, given its geological setting, vein density, mineral association, and gold content. Rackla's portfolio also includes other high-quality properties within the Tombstone Belt displaying substantial geochemical and geophysical evidence of RIRGS-style mineralization. These are early-stage targets, however, we see significant potential given the prospectivity and management's previous track record of discovery.

◆ Key Highlights:

- **BiTe Zone at Grad Property:** The Company's brief 2024 program on the property proved successful, where initial sampling on the new claims returned grades of up to 92.4 g/t Au from the now-named "BiTe Zone". Following its discovery, the Company expanded the property by an additional three new claims to its current 5,525-hectare (5 claims) footprint. The Company immediately initiated a follow-up program consisting of stream sediment sampling, talus fine sampling, a photogrammetry survey, and detailed rock chip sampling. It's now believed that the Grad Property hosts a significant Bi-Te-Au mineralized system within the Mid-Cretaceous North Nahanni Pluton, a quartz monzonite felsic intrusion measuring 1.8km by 1.0km. The BiTe Zone is defined by a talus-fine sample line that returned 550m with an average gold concentration averaging 1.06 g/t Au, with a central core of 180m that averages 3.68 g/t Au.
- **Significant Results at BiTe Zone:** During staking, Rackla collected 25 grab samples from outcrop and sub-crop with over half the samples returning anomalous gold values. Two samples in particular returned promising results from the outcrop, with one returning 92.4 g/t Au, 2.17% Bi, and 1,250 ppm Te, and the other, located 40m to the east, returning 15.85 g/t Au, 0.9% Bi, and 331 g/t Te. Following these results, the Company commenced channel sampling where a continuous chip channel at the cliff base returned 1.8 g/t Au over 38m, with strong indications that mineralization extends vertically along the 450m ridge. Overall, the Company defined a 550m wide gold-bismuth anomaly at the BiTe Zone, where a talus line at the base of the cliff has returned multiple samples exceeding 1.0 g/t Au over 200m, with values as high as 7.5 g/t, within a broader interval of coincident gold-bismuth up to 550m wide, with bismuth values up to 2,930 ppm. Early data suggest the system extends at least 1.3km north, with elevated gold, bismuth, tellurium, and tungsten values confirming a substantial RIRGS target.
- **Balance Sheet:** In April 2025, Rackla completed a non-brokered private placement raising gross proceeds of \$2.99M, where the Company issued 10.64M charity flow-through units at \$0.21 and 5.61M "hard-dollar" units priced at \$0.15 per unit. Each unit consisted of one common share and one-half warrant. Prior to the private placement, as of April 18, the Company had \$5.5M in cash and 123.3M basic shares outstanding.

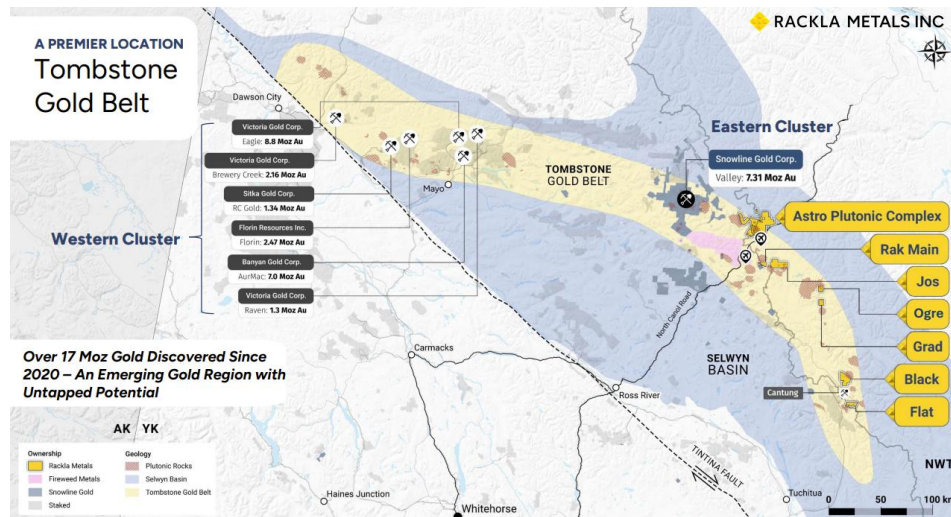
KEY STATISTICS AND METRICS

52-Week High/Low	\$0.36 / \$0.05	Debt	\$ 0.0 M
3-Month Performance	124.14%	Enterprise Value	\$ 36.8 M
Shares I/O (M)	139.5 M	Daily Volume (3 mos.)	555,945
Shares F/D (M)	197.3 M	Currency	C\$ unless noted
Market Cap.	\$ 45.3 M	Website	racklametals.com
Cash	\$ 8.5 M	CEO	Ridgway, Simon T.



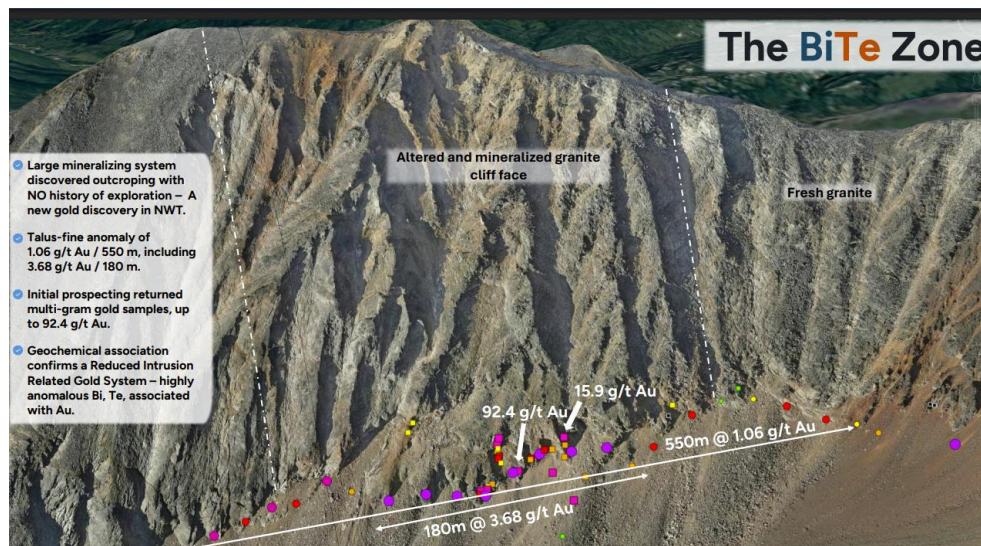
- ◆ **2025 Exploration Program:** Having recently received the required permitting, Rackla Metals plans to initiate its maiden drill program at Grad in June 2025. The Company will initiate Phase 1 of the program at the BiTe Zone with drilling located at the base of the cliff. Contingent on early results, Phase 2 is expected to include step-out drilling and ridgetop drilling (should evidence suggest that the gold-bearing zone continues up the cliff face). The Company's 2025 exploration program will incorporate detailed sampling, trenching, and step-out drilling to test the southern extension, sediment contact zones, and the core intrusive area. This drilling campaign aims to delineate the size, grade, and continuity of the high-grade RIRGS mineralization, providing essential data to unlock the full potential of this large-scale, multiphase intrusive-hosted gold system.

Tombstone Gold Belt



Source: Rackla Metals

BiTe Zone at Grad Property



Source: Rackla Metals



Silver47 Exploration Corp. (AGA-TSXV, \$0.86)

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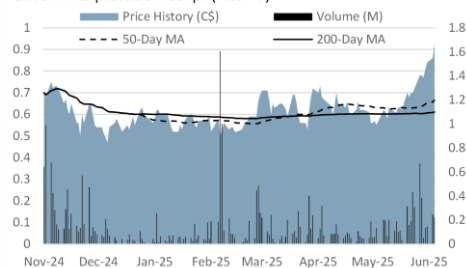
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- Silver47 Exploration Corp:** Silver47 is slated to merge with Summa Silver to create a leading U.S.-focused silver exploration and development company, consolidating a premier portfolio of high-grade silver assets. The combined company holds a diversified portfolio of U.S.-based assets, underpinned by the flagship Red Mountain project in Alaska, the Hughes project in Nevada, and the Mogollon project in New Mexico. Together, they host a consolidated resource base of 236Moz AgEq Inferred and 10Moz AgEq Indicated. The combined company is well-positioned to offer strong leverage to silver with ample room for resource growth across its high-grade portfolio.
- Transformational U.S. Silver Merger:** In Q3/25, Silver47 and Summa Silver are expected to close an at-market merger, creating a premier U.S.-focused silver exploration and development company. Under the deal, Silver47 and Summa shareholders will own approximately 56% and 44%, respectively, of the *pro forma* company. The transaction is supported by a recently closed \$6.9M brokered private placement and consolidates a robust silver endowment across three high-grade projects: Red Mountain (Alaska), Hughes (Nevada), and Mogollon (New Mexico). The combined company will focus on expanding its resource base, advancing projects toward development, and pursuing accretive acquisitions in Tier 1 jurisdictions.
- Red Mountain:** The Red Mountain Project is located in Alaska 100km south of Fairbanks on state-managed lands outside of BLM and Indigenous claims, and spans 620km² of highly prospective stratigraphy. The project is situated within 30km of regional infrastructure. Red Mountain is Silver47's cornerstone asset and a standout high-grade VMS-SEDEX system, hosting 168.6Moz AgEq at 335.7 g/t. The project hosts a variety of domestically scarce critical minerals, including gallium and antimony — placing it squarely within U.S. strategic priorities, particularly following renewed federal support for mining in Alaska. Red Mountain presents significant exploration potential, with 942 mineral claims spanning a 60km trend. An exploration target of 50-75 million tonnes grading 300-400 g/t AgEq has been outlined, highlighting the project's district-scale potential. Notably, the current resource was defined under less than 40,000m of drilling, underscoring the opportunity for substantial growth. An updated resource for Red Mountain is anticipated in Q1/26 and will be followed by a PEA. On June 18, Silver47 announced the commencement of its 4,000m drill program at Red Mountain. The program will target untested areas near historical high-grade silver and gold intercepts, with the goal of increasing Red Mountain's resource base. The Company expects to upsize the program, supported by the recently closed oversubscribed brokered financing.
- Hughes:** The Hughes project is located in the heart of Nevada's historic Tonopah District and spans 5km of its potential eastern extension. The project is situated along the prolific Walker Lane Trend and includes the historic Belmont Mine, one of the most prolific silver producers in the U.S. between 1903 and 1929. Hughes contains 10.3Moz AgEq Indicated resources and 32.9Moz AgEq Inferred resources. Recent drilling has confirmed exceptional high-grade mineralization, with intercepts such as 1,450 g/t AgEq (812 g/t Ag, 8.4 g/t Au) over 3.0m in hole SUM23-59 at the Ruby discovery, underscoring significant resource expansion potential. Located near key infrastructure, the Hughes project leverages modern exploration methods to uncover new targets along this largely untested extension of the historic Tonopah mining district.
- Mogollon:** The Mogollon project is 120km from Silver City in southwestern New Mexico and covers an extensive, silver-gold-bearing epithermal vein field. The Mogollon district has a history of mining and is reported to have produced 13.1Moz of silver and 271Koz of gold between 1904 and 1925. The project contains an Inferred resource of approximately 32Moz AgEq. Covering 7,730 acres and anchored by the 7.5km-long Queen Vein, the Mogollon property hosts a vein field with a cumulative strike length of roughly 77km. Despite its scale, the area remains largely unexplored, offering a high-grade exploration opportunity in a historic mining district.
- Financial Position:** Approximately \$8M in cash (excluding brokered financing). **Financing:** Silver47 and Summa Silver have closed an upsized brokered financing concurrent with the merger to \$6.9M, consisting of subscription receipts priced at \$0.25 per subscription receipt. Upon satisfaction of the escrow release conditions, each subscription receipt will convert to a Summa unit consisting of a common share and half-warrant. Each warrant will entitle the holder to purchase one common share of Silver47 at a post-exchange ratio adjustment exercise price of \$0.7964 per share for 24 months following the satisfaction of the escrow release conditions.
- Capital Structure:** Silver47 currently has 70M shares outstanding and 27M of dilutive securities. The proposed merger with Summa Silver will result in a *pro forma* entity with 126M basic shares outstanding and 53M in dilutive securities for a fully diluted share count of 179M.
- Management:** The *pro forma* company will be led by Galen McNamara as CEO and Gary Thompson as Executive Chairman. Mr. McNamara is a geologist and co-founder of Summa Silver. Mr. McNamara has 20 years of experience in mining and capital markets and is a past recipient of the PDAC Bill Dennis Prospector of the Year Award. Mr. Thompson is a seasoned geologist who currently serves as CEO for Brixton Metals.

KEY STATISTICS AND METRICS

52-Week High/Low	\$0.98/\$0.47	Debt	\$0.0M
3-Month Performance	32%	Enterprise Value	\$52.2M
Shares I/O (M)	70M	Daily Volume (3 mos.)	143,083
Shares F/D (M)	97M	Currency	C\$ unless noted
Market Capitalization	\$60.2M	Website	Silver47.ca
Cash	\$8M	CEO	Thompson, Gary

Silver47 Exploration Corp. (AGA-V)



Source: Capital IQ and Haywood Securities

